

Accounts Payable Invoice Processing

Department:	Finance – Accounts Payable	Document Owner:	AP Manager
Version:	3.3	Effective Date:	2024-01-01
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1. Purpose

Standardize the receipt, validation, approval, and payment of vendor invoices to ensure accuracy, compliance, and timely payment.

2. Scope

All vendor invoices. Excludes employee expense reimbursements (see SOP-FIN-001) and payroll.

3. Procedure

Step 1: Invoice Receipt

All invoices must be sent to ap@company.com or mailed to AP department. AP logs invoice in ERP on day of receipt. Stamp physical invoices with receipt date. Invoices without PO numbers routed to requesting department.

Step 2: PO Matching (3-Way Match)

AP matches invoice to Purchase Order and receiving report. Verify: quantity billed = quantity received, unit price matches PO, invoice math correct. Variances within 5% auto-approved; above 5% require buyer review.

Step 3: Invoice Coding & Approval Workflow

AP assigns GL code and cost center. Invoices over \$10,000 route to department VP for approval. Invoices over \$50,000 require CFO approval. Auto-approve invoices under \$500 from approved vendor list.

Step 4: Payment Scheduling

Approved invoices scheduled per vendor payment terms. Default terms: Net 30. Early pay discount (2/10 Net 30) captured when cash flow permits. Payments processed in weekly AP run (Tuesdays).

Step 5: Payment Execution

CFO or Controller approves payment batch. ACH payments released via bank portal. Checks printed and mailed for vendors without ACH on file. Payment confirmation emails sent to vendors.

Step 6: Vendor Inquiries & Disputes

Vendor calls/emails AP team. AP researches status in ERP within 1 business day. Disputed invoices placed on hold with reason code. AP notifies vendor and internal requester of dispute status.

4. References & Related Documents

- Procurement Policy FIN-PROC-001
- Vendor Master Policy FIN-003
- ERP User Guide – AP Module

5. Revision History

Version	Date	Description of Change
3.3	2024-01-01	Updated approval thresholds
3.2	2023-06-01	Added early pay discount capture
3.0	2022-01-01	Migrated to new ERP system